

General Equilibrium Market Clearing

Session 17 • Where supply meets demand in the secondary market

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Primary Text: Liquidity Illusion (Forthcoming, 2026)

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What we'll cover today

1

From partial to general equilibrium

What general equilibrium means here

2

Supply curve

Sellers' willingness curve

3

Demand curve

Buyers' willingness curve

4

Market clearing

The equilibrium price function

5

Comparison: GE-LAV vs. partial models

Where the differences are largest

Partial vs. general equilibrium — the key distinction

PARTIAL EQUILIBRIUM (PE)

Take prices as given. Optimize agent decisions.

- ▶ Discount rate $r \rightarrow$ fixed exogenously
- ▶ Illiquidity premium $\rightarrow$ calibrated from history
- ▶ Buyer demand $\rightarrow$ not modeled
- ▶ Seller supply $\rightarrow$ assumed passive
- ▶ Price $\rightarrow$ equals discount factor applied to CFs
- ▶ DCF, LA-CAPM are PE models

Strengths: tractable, intuitive

Weaknesses: ignores collective effects

GENERAL EQUILIBRIUM (GE)

Prices emerge from supply-demand interaction.

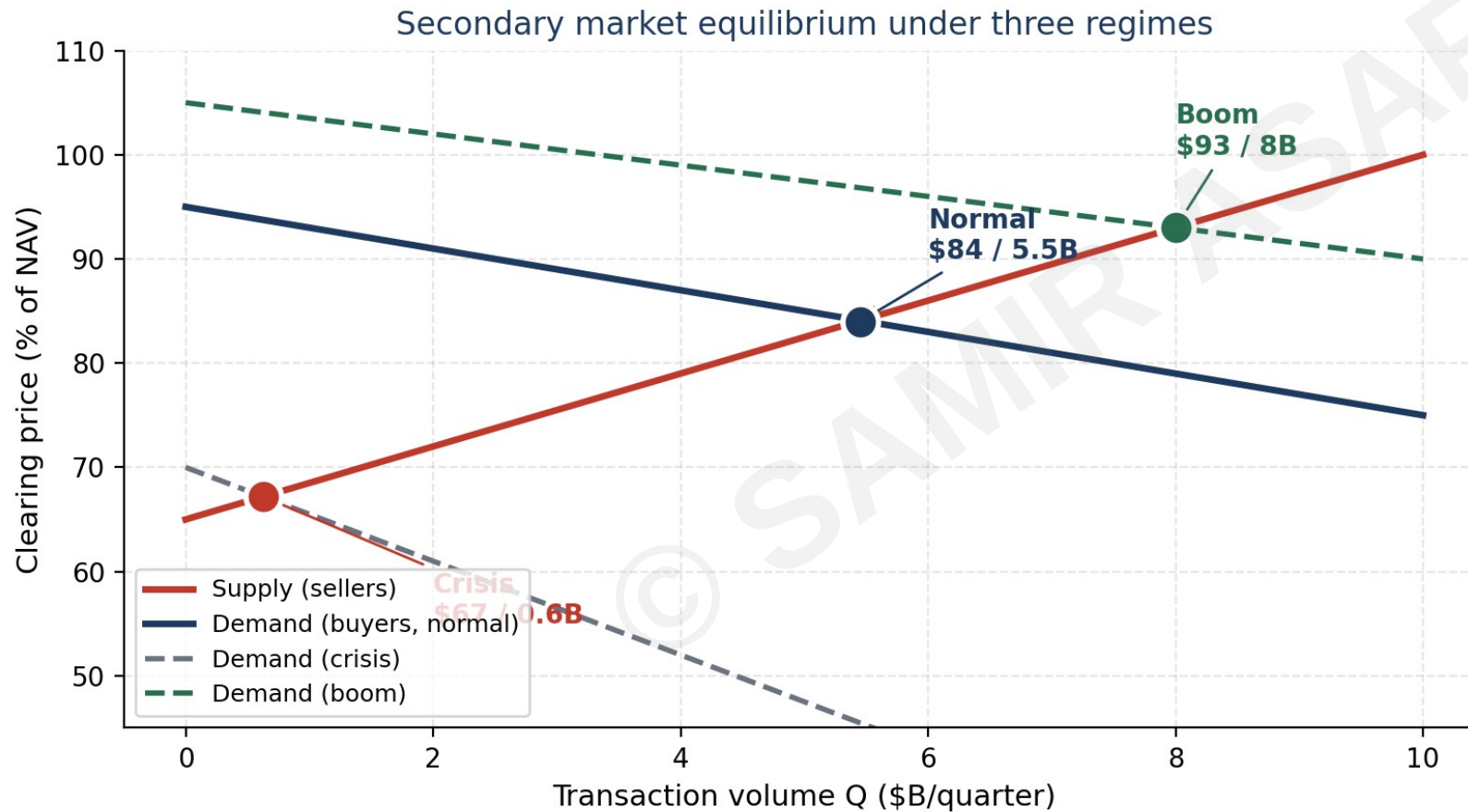
- ▶ Discount rate $r(L) \rightarrow$ endogenous, state-dependent
- ▶ Illiquidity premium $\pi(L,T) \rightarrow$ equilibrium outcome
- ▶ Buyer demand $\rightarrow$ explicitly modeled
- ▶ Seller supply $\rightarrow$ explicitly modeled
- ▶ Price $\rightarrow$ clears the market: supply = demand
- ▶ GE-LAV is a GE model

Strengths: captures collective effects

Weaknesses: harder mathematics

GE-LAV is the first GE pricing framework specifically for private capital.

Supply and demand in the PE secondary market



Reading the chart

Supply curve

Rises with Q: at higher prices, more sellers willing to part with positions.

Demand curves shift

In crisis (gray dashes): buyers retreat. In boom (green dashes): buyers more aggressive.

Equilibrium

Three different P,Q combinations clear the market depending on regime. DCF says one number; GE-LAV captures all three.

Session 17 summary

What we accomplished today

- 1 Partial equilibrium takes prices as given; general equilibrium derives them from supply-demand
- 2 GE-LAV is the first general-equilibrium framework specifically for private capital pricing
- 3 Three regimes (boom, normal, crisis) produce three different equilibrium price/volume pairs
- 4 DCF captures none of this regime variation; GE-LAV captures all three by construction

Next session

Session 18: Platform architecture — how an LP analyst would implement GE-LAV computation